



THE FINANCIAL
BUDDY

MONTHLY DIGEST

Market Pulse

Gold's Debasement Rally Meets a Hawkish Fed

August 2026: How a Jackson Hole Pivot and a Hormuz Oil Shock Rewired Global M

AUGUST 2026

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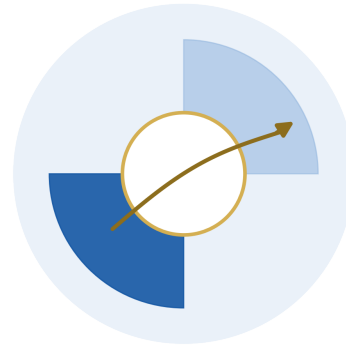
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GLOBAL MARKETS

The Throughline

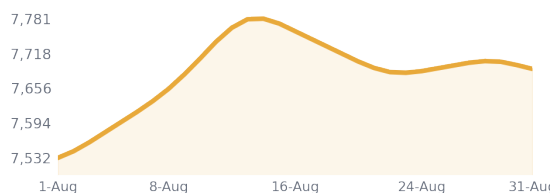
For most of August, a revived 'debasement trade' sent gold and silver soaring after the US Treasury doubled its long-bond buybacks. Then Fed Chair Kevin Warsh's hawkish Jackson Hole speech and fresh US-Iran strikes near the Strait of Hormuz flipped the script — reviving rate-hike bets, lifting oil, and unwinding much of the metals rally into month-end.



Global Indices

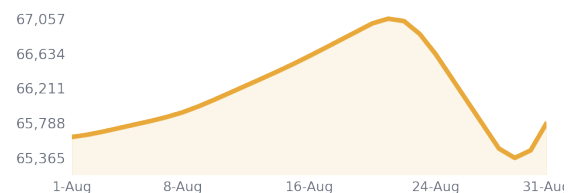
S&P 500 (in USD)

+2.11%



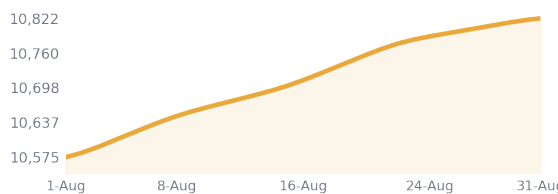
Nikkei 225 (in JPY)

+0.25%



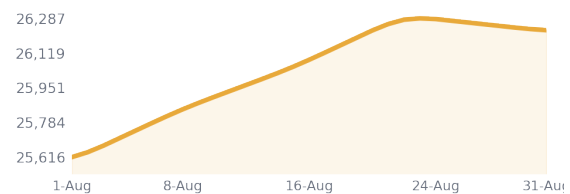
FTSE 100 (in GBP)

+2.33%



DAX (in EUR)

+2.40%



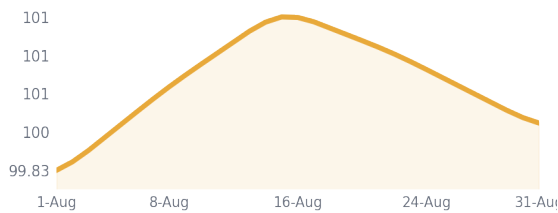
Source: your research — replace before publishing if placeholder.

CURRENCY

The dollar chopped higher through August as Treasury's bond-buyback plan first weakened it on debasement fears, then Warsh's hawkish Jackson Hole turn and rising Fed rate-hike odds pulled it back up. The rupee stayed comparatively steady, supported by RBI intervention and easing crude prices for most of the month.

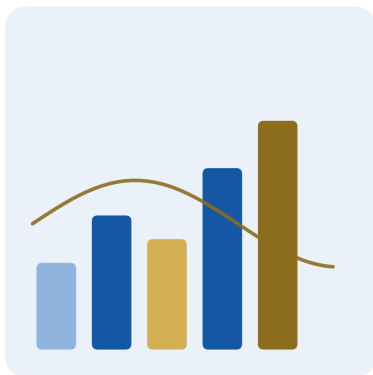
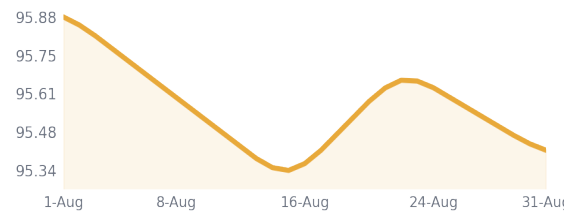
US Dollar Index (DXY)

+0.43%



USD/INR Currency Pair

-0.49%



India's Forex Reserve

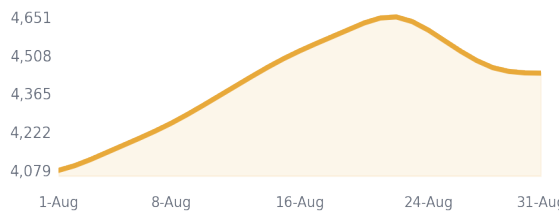
The rupee held a relatively tight band for most of August even as global rate expectations swung sharply, with RBI intervention and softer crude prices through mid-month offsetting the drag from renewed dollar strength after Jackson Hole.

COMMODITIES

Gold and silver posted their strongest month since January as the Treasury's bond-buyback announcement revived the 'debasement trade' — but both gave back a chunk of those gains in the final week as Warsh's hawkish tone and a Strait of Hormuz flare-up put rate hikes back on the table.

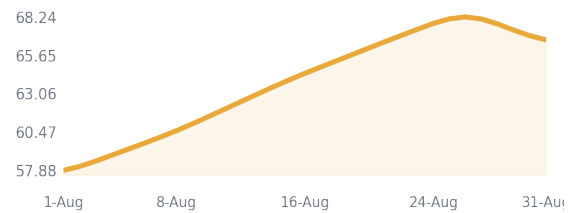
Gold Futures Price (in \$)

+8.90%

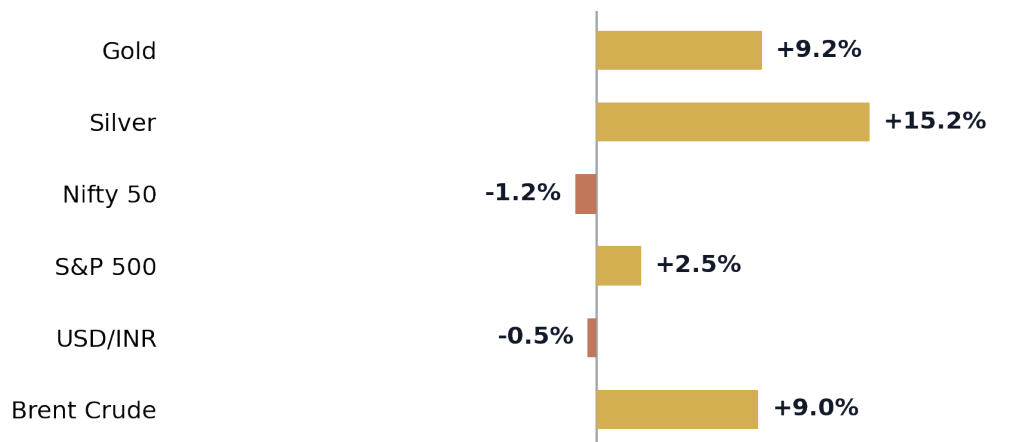


Silver Futures Price (in \$)

+15.22%



Monthly Return by Asset Class



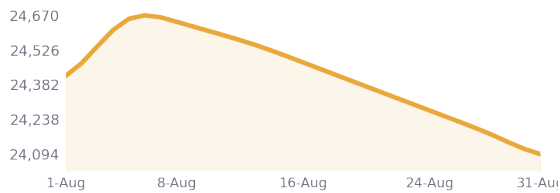
Monthly return by asset class.

INDIAN INDICES

Nifty and Sensex snapped a two-month winning streak, ending August in the red as high crude prices and renewed Middle East tensions capped the market's tightest monthly range in nearly a year. Banks and IT held up relatively better while metals, telecom and FMCG lagged.

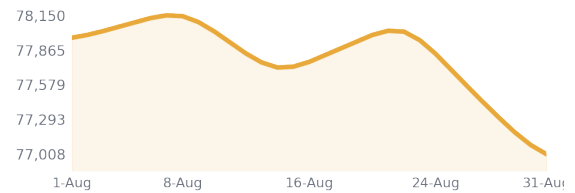
NIFTY 50

-1.33%



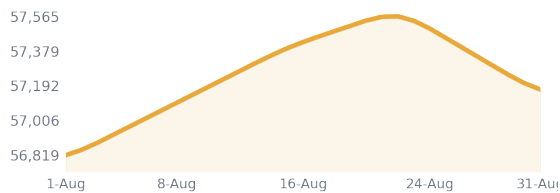
SENSEX

-1.23%



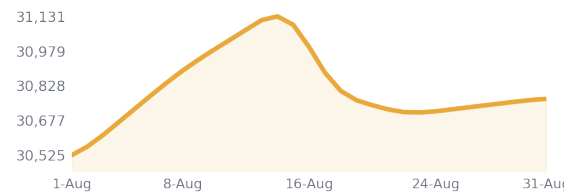
NIFTY Bank

+0.62%



NIFTY IT

+0.81%



Index paths for the month.

EQUITIES & FLOWS

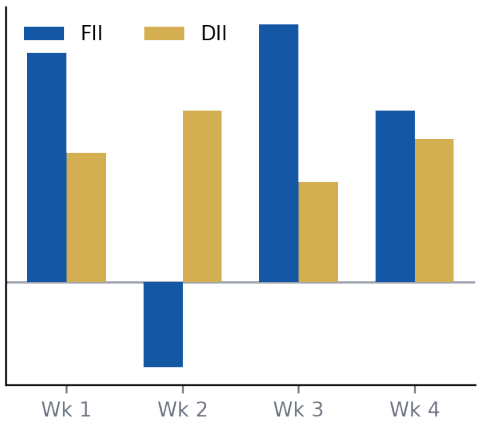
Top Gainers | NIFTY 50

Company Name	Change (%)
Eternal Ltd.	+15.7
Jio Financial Services Ltd.	+11.5
Trent Ltd.	+11.1
Bharti Airtel Ltd.	+9.1
Bharat Electronics Ltd.	+7.9

Top Losers | NIFTY 50

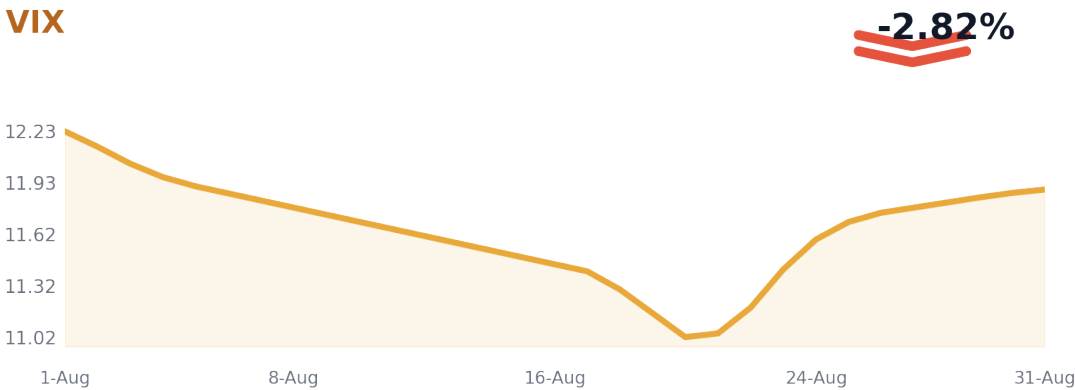
Company Name	Change (%)
Asian Paints Ltd.	-5.5
NTPC Ltd.	-5.2
Kotak Mahindra Bank Ltd.	-3.5
Eicher Motors Ltd.	-2.6
Shriram Finance Ltd.	-2.0

FII vs DII Flows (₹ Cr)



FIIs stayed net buyers in August for a second straight month, deploying roughly Rs 20,000 crore through primary and secondary markets even amid bouts of selling around the Jackson Hole and Hormuz-driven volatility. DIIs continued their steady, uninterrupted buying throughout.

India VIX



EVENTS ARCHIVE

08 August 2026

Monday	Tuesday	Wednesday	Thursday	Friday	Saturday	Sunday
					1	2
3	4	5	6	7	8	9
10	11	12	13	14	15	16
17	18	19	20	21	22	23
24	25	26	27	28	29	30
31						

Indian Events

3

NSE Rolls Out New Closing Auction Session

The new closing-price mechanism sparked unusual swings, most notably during the Aug 27 Sensex derivatives expiry.

5

RBI Holds Repo Rate at 5.25%, Lifts Growth Forecast

The MPC kept rates unchanged for a fourth straight review and raised its FY27 GDP forecast to 6.7%.

12

July Retail Inflation Cools to 4.45%

Headline CPI stayed comfortably within the RBI's tolerance band, aligning with market expectations.

Global Events

11

US Strikes Near Strait of Hormuz Reignite Oil Fears

Military action against Iranian assets and retaliatory strikes pushed Brent crude above \$90 a barrel.

19

US Treasury Doubles Long-Bond Buybacks

The move to steady long-term yields revived the 'debasement trade' that drove gold and silver higher.

28

Fed Chair Warsh Opens Door to a Rate Hike at Jackson Hole

Warsh called inflation 'concerning,' pushing September hike odds to near a coin flip from about one-third.

OPINION POLL

I stand here today committed to a discipline, not to a decision.

— Kevin Warsh, Federal Reserve Chair, Jackson Hole, Aug 28, 2026

Based on Treasury Department statements, market participants believe the government bond market interference may get even more aggressive.

— Bart Melek, Head of Commodity Strategy, TD Securities

One institution has a tightening bias, the other a loosening bias, aimed at the same curve.

— Nicky Shiels, Head of Research and Metals Strategy, MKS PAMP

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